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Case Number: 25NNCV04398 Hearing Date: June 26, 2026 Dept: D

TENTATIVE RULING

Calendar: 9

Date: June 26, 2026

Case No: 25NNCV04398 Trial Date: Not yet set

Case Name: Oakhurst Opportunity Lending Fund I, LP v. Hu, et al.

MOTION FOR LEAVE TO FILE A FIRST AMENDED COMPLAINT

[CCP § 473 subd. (a)(1)]

Moving Party: Plaintiff, Oakhurst Opportunity Lending Fund I, LP

Responding Party: Defendant, Chicago Title Company

RELIEF REQUESTED:

Leave to file a first amended complaint.

CAUSES OF ACTION: from Complaint

1) Quiet Title

2) Declaratory Relief

3) Cancellation of Instruments

4) Injunctive Relief

CAUSES OF ACTION: from Aiton Capital, Inc.'s Cross-Complaint

1) Conversion

2) Unjust Enrichment

3) Money Had and Received

4) Declaratory Relief

CAUSES OF ACTION: from Bank of America N.A.'s Cross-Complaint

1) Interpleader

2) Declaratory Relief

CAUSES OF ACTION: from Citizen Business Bank's Cross-Complaint

1) Interpleader

CAUSES OF ACTION: from Chicago Title Company's Cross-Complaint

1) Equitable Indemnity

2) Contribution

SUMMARY OF FACTS:

Plaintiff Oakhurst Opportunity Lending Fund I, LP ("Plaintiff") alleges that it is the owner of real property on Old Mill Road in San Marino, which it acquired through a non-judicial foreclosure sale in April of 2024 by a successful credit bid. Plaintiff alleges that its successful credit bid and title to the premises is reflected in a Trustee's Deed Upon Sale dated May 6, 2024, and recorded on May 7, 2024.

Plaintiff alleges that following the purchase, certain individuals, including a borrower on whom Plaintiff had foreclosed its security interest, failed to vacate the property. Plaintiff commenced unlawful detainer proceedings, and ultimately obtained a judgment and writ of possession following judgment in the eviction action. Possession was restored in Plaintiff and an abstract of judgment recorded in May of 2025.

In June of 2025, Plaintiff alleges that it first learned that defendants Hsu Kun Fu (“Fu”), California Escrow Group (“CEG”), Chicago Title Company, and Aiton Capital Inc. had caused title to the property to be transferred fraudulently to defendant James Hu (“Hu”), as reflected in two public recorded documents, a Grant Deed Recorded on May 30, 2025, and a Deed of Trust recorded on May 30, 2025. Plaintiff alleges that the fraudulent grant deed was signed by an individual named Hsu Kun Fu (“Fu”) as “Manager” of Plaintiff, when Fu has no affiliation with Plaintiff, and he had no authority to execute the fraudulent grant deed. Plaintiff alleges on information and belief that Fu presented the escrow company, defendant California Escrow Group, with fraudulent corporate entity documents for Plaintiff. Plaintiff alleges that, as further indicia of this fraudulent scheme, Plaintiff received none of the sale proceeds from the purported $12,000,000.00 sale of the property.

Defendant Aiton Capital, Inc. (“Aiton Capital”) filed a cross-complaint against Fu as a cross-defendant, along with other parties. The cross-complaint alleges that Aiton Capital made a loan to Hu for purposes of the alleged fraudulent transaction. After payment of fees and other costs, the sum of $4,687,271.67 was wired to defendant Chicago Title Company as sub-escrow agent. Chicago Title Company then paid tax obligations associated with the property and wired the remaining balance to defendant California Escrow Group. According to the cross-complaint, California Escrow Group, acting in accordance with instructions purportedly provided by Fu as Plaintiff’s representative, wired the funds into a checking account ending in 6339 at Choice Financial Group (“Choice”), a bank in North Dakota. The cross-complaint alleges that documents produced by Choice show that there was also a savings account ending in 5277 opened in Plaintiff’s name with Hu, the buyer in the alleged fraudulent transaction, as the authorized signatory and 100% beneficial owner of the Choice accounts.

The cross-complaint alleges various relevant transactions to, from, and between the Choice accounts, and alleges that one or more of the cross-defendants Fu, Hu, Cole Harris (the previous owner and occupant of the subject property), and/or Cindy Chen Harris, acting individually or in concert with one another, have misappropriated the loan funds provided by Aiton Capital solely for the use by Hu, the ostensible buyer of the property, solely for the purported purchase of the property. Specifically, it is alleged that these cross-defendants, in connection with the alleged fraudulent transaction, have dissipated funds from the Choice accounts to the transferee cross-defendants, Dlight Investment, LLC, Hades, LLC, Husdow US, Inc., and California Premiere Escrow Group, and/or the bank cross-defendants, Bank of America, N.A., East West Bank, and Citizens Business Bank.

ANALYSIS:

The court may, in its discretion and after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars. (CCP, § 473, subd. (a)(1); Branick v. Downey Savings & Loan Association (2006) 39 Cal.4th 235, 242.)

As judicial policy favors resolution of all disputed matters between the parties, leave to amend is generally liberally granted. (See Kolani v. Gluska (1998) 64 Cal.App.4th 402, 412.) The court may deny the plaintiff’s leave to amend if there is prejudice to the opposing party, such as delay in trial, loss of critical evidence, or added costs of preparation. (Id.)¿ California courts ordinarily will not consider the validity of a proposed amended pleading in ruling on a motion for leave to amend given that any grounds for a demurrer or a motion to strike will be premature at that time. (California Casualty General Ins. Co. v. Superior Court (1985) 173 Cal.App.3d 274, 280-281 [citations omitted, overruled on other grounds.)

A motion to amend a pleading before trial must (1) include a copy of the proposed amendment or amended pleading, which must be serially numbered to differentiate it from previous pleadings or amendments; (2) state what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph and line number, the deleted allegations are located; and (3) state what allegations are proposed to be added to the previous pleading, if any, and where, by page, paragraph, and line number, the additional allegations are located. (California Rules of Court, rule 3.1324(a).) A separate supporting declaration specifying (1) the effect of the amendment; (2) why the amendment is necessary and proper; (3) when the facts giving rise to the amended allegations were discovered; and (4) the reason why the request for amendment was not made earlier must accompany the motion. (CRC, rule 3.1324 (b).)¿

Plaintiff seeks leave to file a first amended complaint to add a cause of action for slander of title against defendants Aiton Capital Inc. and Chicago Title Company. Plaintiff attaches a copy of the proposed first amended complaint to this motion. (Woodward Decl., Ex. A.) Plaintiff asserts that the amendment is necessary and proper because the “additional causes of actions and issues raised in each of the subsequently filed cross-complaints have greatly expanded the scope of this litigation." (Mot., p. 5:9-10.) Plaintiff asserts that given the increased complexity and additional discovery required, Plaintiff continues to experience mounting damages resulting from its inability to sell the subject property. (Mot., p. 5:10-16.) Plaintiff asserts that accordingly, it has become necessary to file an amended pleading to recover for the damages directly caused by the allegedly fraudulent transaction. (Mot., p. 5:17-18.) Plaintiff asserts that no party will be prejudiced by granting leave to file the amended pleading because it is based on the same transaction as alleged in the Complaint and cross-complaints, will not expand the scope of discovery, and no trial date has been set in this action. (Mot., p. 7:17-19.) The Court finds that Plaintiff has complied with CRC, rule 3.1324 subdivisions (a) and (b).

In the opposition, Chicago Title Company argues that the proposed first amended complaint fails to state facts sufficient to constitute a slander of title cause of action. This argument is premature. (See California Casualty General Ins. Co., supra, 173 Cal.App.3d at pp. 280-281.) The validity of an amendment is not grounds for denying leave to amend. Any challenges to its legal sufficiency should be addressed in the appropriate proceedings. (Atkinson v. Elk Corp. (2003) 109 Cal.App.4th 739, 760.) Chicago Title further argues that the motion is procedurally defective because it does not comply with the requirements of CRC, rule 3.1324. The Court finds that Plaintiff's counsel's declaration adequately addresses the factors listed in CRC, rule 3.1324 subdivisions (a) and (b). (See Woodward Decl., ¶¶ 1-7, Exs. A-B.) Lastly, Chicago Title Company argues that granting leave to amend will result in prejudice because there will be another round of pleadings, pleading challenges and other motions. (Opp., p. 17:18-20.) Chicago Title Company also argues that because Plaintiff has already moved to bifurcate the trial, there now may "need to be two or more trials in order to resolve whatever claims and defenses are on the table once the case is actually at issue." (Opp., p. 17:23-24.) Trial has not yet been set in this matter. Accordingly, the parties will have sufficient opportunity to address any issues arising from the newly added cause of action. The possibility that additional motion practice or trial preparation may be required does not constitute a valid basis for denying the motion.

Thus, in light of the liberal policy favoring granting motions for leave to amend pleadings, the motion is GRANTED.

RULING:

Plaintiff's Motion for Leave to File a First Amended Complaint is GRANTED. The amended pleading is to be filed within 10 days of this order.

DEPARTMENT D IS CONTINUING TO CONDUCT AND ENCOURAGE

VIDEO APPEARANCES

If you wish to appear remotely on LACourtConnect, you may register by visiting www.lacourt.ca.gov to schedule a remote appearance. Please note that LACourtConnect offers free audio and video appearances. Department D is now requiring either live or VIDEO appearances, not audio appearances.